

NORTHSTAR FINANCIAL SERVICES

GLOBAL PROCUREMENT & VENDOR LIFECYCLE GOVERNANCE POLICY

DOCUMENT ID	EFFECTIVE DATE	POLICY OWNER	CLASSIFICATION
POL-PROC-2025-02	Nov 15, 2025	Head of Procurement	Internal Mandatory

1. POLICY OVERVIEW & PURPOSE

Northstar Financial Services (NFS) requires a standardized, transparent, and rigorous vendor evaluation framework. This policy establishes mandatory operational, financial, and contractual standards governing all third-party software, hardware, cloud, and AI platform technology acquisitions. Every technology procurement must complete a structured multi-stakeholder assessment prior to contract execution.

2. VENDOR CLASSIFICATION & ASSESSMENT TIERS

Evaluation rigor is determined by financial exposure, operational criticality, and data sensitivity. Vendors are assigned to one of three governance tiers:

TIER	CRITERIA & THRESHOLDS	REQUIRED SPECIALIST EVALUATIONS	BIDDING BASELINE
Tier 1 Critical	Spend > \$250k/yr OR handles Customer PII / AI Models / Core Systems.	All 5 Domains Procurement, InfoSec, Legal, Finance, AI Governance.	Minimum 3 competitive RFP proposals required.
Tier 2 Major	Spend \$50k – \$250k/yr OR departmental operational dependency.	Procurement, InfoSec, Legal, Finance.	Minimum 2 competitive proposals required.
Tier 3 Standard	Spend < \$50k/yr with non-sensitive data exposure.	Procurement & InfoSec fast-track baseline.	Direct purchase permitted with benchmark review.

3. COMMERCIAL DUE DILIGENCE & PRICING STANDARDS

The Procurement Agent and human panel must evaluate vendor proposals against strict financial viability and market benchmarking controls:

- Total Cost of Ownership (TCO):** Assessments must calculate a 3-year TCO including baseline licensing, implementation/onboarding costs, estimated API token usage, mandatory support tiers, and potential growth scaling fees.
- Price Escalation Caps:** Multi-year contracts must explicitly cap annual price increases upon renewal at a maximum of **3.0% per annum** or the US Consumer Price Index (CPI), whichever is lower.
- Payment Terms:** Standard payment terms for NFS are **Net 60 days** from receipt of a valid invoice. Net 30 or accelerated terms require CFO exception approval.
- Financial Stability:** Vendor must provide 3 years of audited financials or demonstrate an Altman Z-Score > 2.9 (Safe Zone). Early-stage startups (<3 yrs operating history) require an escrow agreement for code/models or a parent corporate guarantee.

Procurement Rule: Any proposal containing uncapped annual renewal increases, mandatory auto-renewal periods exceeding 30 days, or upfront payment terms exceeding 12 months will trigger an automatic commercial flag and require CFO waiver.

4. MANDATORY SERVICE LEVEL AGREEMENT (SLA) BASELINES

Vendor contractual commitments must align with NFS operational resilience standards. Service level agreements must include clear performance targets and financial remedies:

SERVICE METRIC	NFS MINIMUM BASELINE	MANDATORY CONTRACT REMEDY
System Availability	99.9% Monthly Uptime (24/7/365), excluding scheduled maintenance.	10% credit of monthly invoice for every 0.1% uptime drop below 99.9% (capped at 50% monthly fee).
Maintenance Windows	Permitted only Sundays 01:00 – 05:00 EST. 7-day advance notice required.	Unscheduled downtime counted directly against total monthly availability SLA.
Incidents (P1 Critical)	Initial response within 15 minutes; resolution work plan within 1 hour.	Service credit of \$2,500 per P1 breach exceeding 2 hours.
API Latency (SaaS/AI)	P95 response time < 800ms for core inference & search queries.	Performance breach penalty and right to terminate without fee if uncorrected in 14 days.

5. COMMERCIAL CONTRACT RED-LINES & VETO CRITERIA

The Procurement Specialist Agent must automatically flag non-compliant vendor terms during proposal ingestion. The following contract provisions constitute mandatory commercial veto triggers:

VETO Extended Auto-Renewal Traps Notice window required to cancel auto-renewal exceeds 30 days prior to contract expiration (e.g., 60 or 90-day notification traps).	VETO Uncapped Liability Limits for Vendor Contracts where vendor attempts to cap total liability below 2x annual contract value for gross negligence or data security breaches.
REQUIRED Termination for Convenience NFS must retain the right to terminate for convenience with 30 days written notice without incurring early termination penalties.	REQUIRED Audit & Usage Verification Rights Right to audit vendor software license compliance and usage records annually without third-party intrusive software installation.

6. MULTI-DISCIPLINARY SIGN-OFF WORKFLOW

Final vendor authorization requires consensus across all assigned domain agents and human risk leads:

- Ingestion & Parsing:** Deep Orchestrator receives full RFP, proposal, and contract draft.
- Parallel Evaluation:** Procurement, InfoSec, Legal, Finance, and AI Governance agents extract relevant clauses and query MCP policy registers.
- Defensible Scoring:** Procurement Agent calculates SLA Risk Score, Commercial Feasibility Index, and TCO variance against internal benchmarks.
- Dossier Generation:** Orchestrator aggregates all 5 domain evaluations into the structured *Vendor Decision Record* for executive committee review.

